In accordance with the Correspondent Purchase Agreement entered into by the Seller and Flagstar prior to initiating a business relationship, Seller agrees to comply with all of the following provisions:

1. Valuations procured by Seller will comply with the Uniform Standards of Appraisal Practice (USPAP), interagency Appraisal and Evaluation Guidelines (Interagency Guidelines), the GSE Appraiser Independence requirements, and all applicable legal requirements, including but not limited to, Regulation Z's requirement for valuation independence (Requirements).
2. Seller warrants, represents and agrees as follows:
   a. No employee, director, officer, or agent of the Seller, or any other third party acting as joint venture partner, independent contractor, appraisal company, appraisal management company, or partner on behalf of the Seller, shall influence or attempt to influence the development, reporting, result, or review of an appraisal through coercion, extortion, collusion, compensation, inducement, intimidation, bribery, or in any other manner including but not limited to:
      i. withholding or threatening to withhold timely payment or partial payment for an appraisal report;
      ii. withholding or threatening to withhold future business for an appraiser, or demoting or terminating or threatening to demote or terminate an appraiser;
      iii. expressly or impliedly promising future business, promotions, or increased compensation for an appraiser;
      iv. conditioning the ordering of an appraisal report or the payment of an appraisal fee or salary or bonus on the opinion, conclusion, or valuation to be reached, or on a preliminary value estimate requested from an appraiser;
      v. requesting that an appraiser provide an estimated, predetermined, or desired valuation in an appraisal report prior to the completion of the appraisal report, or requesting that an appraiser provide estimated values or comparable sales at any time prior to the appraiser's completion of an appraisal report;
      vi. providing to an appraiser an anticipated, estimated, encouraged, or desired value for a subject property or a proposed or target amount to be loaned to the borrower, except that a copy of the sales contract for purchase transactions may be provided;
      vii. providing to an appraiser, appraisal company, appraisal management company, or any entity or person related to the appraiser, appraisal company, or appraisal management company, stock or other financial or non-financial benefits;
      viii. allowing the removal of an appraiser from a list of qualified appraisers, or the addition of an appraiser to an exclusionary list of disapproved appraisers, used by any entity, without prompt written notice to such appraiser, which notice shall include written evidence of the appraiser's illegal conduct, a violation of the Uniform Standards of Professional Appraisal Practice (USPAP), a violation of the Appraiser Independence Requirements, or violation of state licensing standards, substandard performance, improper or unprofessional behavior or other substantive reason for removal (except that this prohibition will not preclude the management of appraiser lists for bona fide administrative reasons based on written, management-approved policies);
      ix. ordering, obtaining, using, or paying for a second or subsequent appraisal or automated valuation model (AVM) in connection with a mortgage financing transaction unless: (i) there is a reasonable basis to believe that the initial appraisal was flawed or tainted and such basis is clearly and appropriately noted in the loan file, or (ii) unless such appraisal or automated valuation model is done pursuant to written, pre-established bona fide pre or post-funding appraisal review or quality control process or underwriting guidelines, and so long as the Seller adheres to a policy of selecting the most reliable appraisal, rather than the appraisal that states the highest value; or

   x. any other act or practice that impairs or attempts to impair an appraiser's independence, objectivity, or impartiality or violates law or regulation, including, but not limited to, the Truth in Lending Act (TILA) and its implementing Regulation Z, or the USPAP.

b. No person preparing a valuation for Seller or performing valuation management functions for Seller will have a direct or indirect interest, financially or otherwise, in the property or transaction for which the valuation is or will be performed. This includes, but is not limited to, the following activities:
   i. Seller shall not permit the order of an appraisal by an employee in the sales or loan production functions of the Seller or allow such an employee to play a role in selecting, retaining, recommending, or influencing the selection of any appraiser for any particular appraisal assignment or for inclusion on a list or panel of appraisers approved to perform appraisals for the Seller.
   ii. Seller shall not permit employees in the sales or loan production functions of the Seller, to have any substantive communications with an appraiser, appraisal company, or appraisal management company relating to or having an impact on valuation or to be provided information about which appraiser has been given a particular appraisal assignment before completion of that assignment.
   iii. Seller shall not permit the order of an appraisal by an employee who has an ownership interest in the Seller as determined by the Seller's most recent articles of organization or is the relative of an individual with ownership interest in the Seller as determined by the Seller's most recent articles of organization.

c. Seller warrants that there has been no mischaracterization of value regarding the valuations of loans Seller has sold and will sell to Flagstar. Toward that end, Seller warrants that Seller has adequate policies and procedures in place to prevent any such mischaracterization of value.

d. Seller and any appraisal company or any appraisal management company providing the appraisal to the Seller has adopted written policies and procedures implementing the Appraisal Independence Requirements, including, but not limited to, adequate training and disciplinary rules on appraiser independence and has mechanisms in place to report and discipline anyone who violates these policies and procedures.

e. Seller shall ensure that the borrower is provided a copy of any appraisal report concerning the borrower's subject property promptly upon completion at no additional cost to the borrower, and in any event no less than three days prior to the closing of the loan. The borrower may waive this three-day requirement.

f. The seller shall not utilize any appraisal report:
   i. prepared by an appraiser employed by:
      (1) the lender;
      (2) an affiliate of the lender;
      (3) an entity that is owned, in whole or in part, by the lender; or
      (4) an entity that owns, in whole or in part, the lender.
   ii. prepared by an appraiser
      (1) employed,
      (2) engaged as an independent contractor, or
      (3) otherwise retained by any appraisal company or any appraisal management company affiliated with, or that owns or is owned, in whole or in part by, the lender or an affiliate of the lender.

   g. Seller agrees that it shall quality control test, by use of retroactive or additional appraisal reports or other appropriate method, a randomly selected 10 percent (or other bona fide statistically significant percentage) of the appraisals or valuations that are used by the Seller, including the
   h. results of automated valuation models, broker's price opinions, or "desktop" evaluations. The Seller shall provide to Flagstar, a report of any adverse, negative, or irregular findings of such quality control testing, and any findings indicating non-compliance with any provision of the Appraiser Independence Requirements, with respect to loans sold to Flagstar, and Flagstar may enforce all applicable rights and remedies, including requiring the Seller to repurchase mortgages or Flagstar's participation interest in mortgages.
   i. Seller agrees that no person - not even a non-commissioned, non-producing employee - may provide an appraisal management company with a list or panel of appraisers to be used for loans involving a specified mortgage broker, real estate agent, or loan officer.
3. Seller shall certify, warrant, and represent that the appraisal report was obtained in a manner in compliance with the Appraiser Independence Requirements. If Flagstar determines that Seller is in breach of a material aspect of the Appraiser Independence Requirements or in violation of any provision of the Guidelines, Seller shall provide, at Flagstar's election, one of the following remedies. The remedy elected shall be accomplished within thirty (30) days after receiving written notice from Flagstar.
   a. Seller shall cure the error to Flagstar's satisfaction; or
   b. Seller shall purchase the Mortgage Loan from Flagstar without recourse; or
   c. Seller shall provide for such additional insurance or other credit enhancement satisfactory to Flagstar.
4. Seller acknowledges that Flagstar's review or approval of Seller's Appraisal Independence policy and procedures does not suggest, imply, or demonstrate that the Seller and their procedures are in compliance with the any applicable rules or regulations regarding appraisal independence.
5. Seller agrees that upon written request Seller shall immediately repurchase, at the Repurchase Price as defined in Section I of the correspondent agreement, or indemnify Flagstar for all losses incurred on any Mortgage Loan sold to Flagstar, if Flagstar is required to repurchase said Mortgage Loan from Fannie Mae, Freddie Mac, or any other third party investor for any reason involving the appraisal of said loan, including but not limited to appraisal misrepresentation, fraud, or non-compliance with the Uniform Standards of Professional Appraisal Practice (USPAP) or the Appraisal Independence Requirements.
6. Seller shall certify, warrant and represent that the appraisal report was obtained from an appraiser with the following status:
   a. For Flagstar and Delegated underwritten transactions, the appraiser shall not be in an ineligible status on Flagstar's eligible appraiser list at the time of origination.